PayZippy
Merchant Compliance Self-Certification

Periodic self-certification against the NPCI UPI Procedural Guidelines

Reporting period: Q2 FY 2026-27 (quarter ending 30 June 2026)

1. Merchant profile and certification scope

PayZippy Commerce Ltd. is a customer-facing bill-payments and recharge merchant on UPI. This self-certification covers the quarter ending 30 June 2026 and certifies compliance against the NPCI UPI Procedural Guidelines: the settlement and reports obligations of Annexure I on the payment side, and the Annexure XIV app checklist on the service side.

Executive summary

PayZippy certifies compliance with the majority of checklist items but reports material gaps this quarter: settlement reconciliation is performed weekly rather than daily, two daily settlement obligations were missed in June 2026, the separate UPI DSR is not yet consumed, and several mandatory Annexure XIV items (in-app complaint logging, in-app deregistration and deletion, collect-request expiry display, VPA re-allocation moratorium, iOS intent calls) are not yet implemented. Remediation positions are stated per item.

Statuses in this document are self-attested by the merchant. "Compliant" means the control or app function is live and evidenced; "Partial" means it is live with stated limitations or in remediation; "Non-compliant" means it is not implemented as of the reporting date. Evidence references resolve through the evidence register in section 5.

2. Payment Compliance Self-Certification

Self-certified status against Annexure I (Settlement & Reports) of the NPCI UPI Procedural Guidelines: first the three settlement scenarios of the Annexure I settlement table, then the settlement, reconciliation and reports obligations stated in the same annexure.

2.1 Settlement scenario readiness (Annexure I settlement table)

Sr	Settlement scenario (Annexure I)	Compliance Status	Merchant Response / Evidence
1	Sending Bank live in UPI & Recipient Bank live in IMPS only (Debit in UPI, Credit in IMPS; Settlement in IMPS)	Compliant	IMPS credit-leg transactions reconciled against bank statement weekly; no unresolved breaks over 30 days; ref PZ-REC-2026-Q2.
2	Both the Sending & receiving Bank live in IMPS (Credit in IMPS; Settlement in IMPS)	Partial	IMPS-to-IMPS flows are not segregated from other IMPS traffic in recon; 41 unresolved breaks older than 7 days at quarter end.
3	Both Banks live in UPI (Debit in UPI, Credit in UPI; Settlement in IMPS)	Non-compliant	Separate UPI DSR for UPI-credit transactions is not consumed; these transactions are reconciled only against the bank statement, not the DSR.

2.2 Settlement and reports obligations (Annexure I notes and reports availability)

Ref	Obligation (Annexure I - Settlement & Reports)	Compliance Status	Merchant Response / Evidence
OB-1	Download all settlement files (Raw data file, NTSL/DSR, STL) daily from DMS/RGCS	Partial	Raw data file and DSR downloaded manually each morning; STL not downloaded on 9 occasions in the quarter.
OB-2	Perform reconciliation as per the guidelines issued by NPCI from time to time	Non-compliant	Reconciliation performed weekly, not daily as per NPCI guidelines; migration to daily recon planned Q4 2026.
OB-3	Maintain a separate operations and reconciliation team for day-to-day settlement activities	Non-compliant	No separate operations and reconciliation team; recon handled part-time by two finance staff.
OB-4	Verify accuracy of the Daily Settlement Reports against own transaction data	Non-compliant	Daily Settlement Report figures are not verified against internal transaction data; verification control planned with the daily-recon project.
OB-5	Meet the daily settlement obligation (no more than two failures in a month)	Non-compliant	Two daily settlement obligations missed in June 2026 due to funding shortfall on the nodal account; funding buffer under review.
OB-6	Letter of authority to RBI for net debit/credit of the settlement account, via sponsor bank	Compliant	Letter of authority on file with sponsor bank since onboarding; ref PZ-LOA-2023-04.
OB-7	Consume the separate UPI DSR for transactions where the credit request is processed through UPI	Non-compliant	UPI DSR feed not integrated; dependent on OB-2 daily-recon migration.

3. Service Compliance Self-Certification

Self-certified status against the mandatory items of Annexure XIV (APP CHECKLIST) of the NPCI UPI Procedural Guidelines. The Ref column cites the checklist level and row (for example L2.d = Level 2, row d) and the item text mirrors the checklist wording.

Ref	Checklist item (Annexure XIV)	M/O	Compliance Status	Merchant Response / Evidence
L1.a	App available for download on Play Store	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L1.b	App available for download on App Store	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.a	Send (Push) from home screen using Virtual Address (VPA) and Account/IFSC	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.b	Collect from home screen using Virtual Address	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.c	Add/Link a Bank A/C from home screen	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.d	Transaction history available from home screen	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.e	Mobile Banking registration with manual card number & expiry entry	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.f	Generate MPIN / Set MPIN from home screen	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.g	Change MPIN with old and new MPIN entered manually	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L2.i	Log a complaint from home screen	M	Non-compliant	No in-app complaint function; customers are directed to a support email address and no ticket id is issued.
L3.a	Registration via encrypted SMS from the app without user typing (PKI, dual-SIM selection)	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L3.b	Profile creation on registration	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L3.c	VPA creation on registration	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L3.f	Deregistration from PSP supported in-app	M	Non-compliant	Deregistration only via a support request; average completion 12 days; no in-app option.
L3.g	Deletion of Account linked to VPA supported	M	Non-compliant	Account unlinking requires a support request; not available in-app.
L3.h	Deletion of VPA supported	M	Non-compliant	VPA deletion not available to the customer in-app or via support self-service.
L4.i	Restoring of VPA by PSP in case of deletion by user (at least 2 years moratorium)	M	Partial	Deleted VPAs are blocked for 90 days only; the 2-year moratorium is not enforced in the current identity store.
L5.a	List of banks displayed as Issuer in a drop-down menu	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.

Ref	Checklist item (Annexure XIV)	M/O	Compliance Status	Merchant Response / Evidence
L5.c	Set-MPIN flow via debit card last 6 digits & expiry + OTP, or "Continue with Existing MPIN"	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L5.G	One PSP app can register multiple bank accounts with multiple VPAs	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L6.a	Pay using VPA	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L6.b	Pay using a/c & IFSC	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L6.e	MPIN pre-approved pay transaction	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L6.g	Online transaction confirmation shown to the customer	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L7.a	Collect using VPA	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L7.e	Display of VPA and Name for incoming collect request	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L7.f	Display of expiry time for incoming collect request	M	Non-compliant	Expiry time of an incoming collect request is not displayed to the customer.
L7.g	Default validity of 30 minutes when customer does not specify collect expiry	M	Partial	Default collect validity is set to 60 minutes instead of the prescribed 30 minutes.
L8.a	Balance enquiry with account selection	M	Partial	Balance enquiry available but fails intermittently for one sponsor bank (approx. 6% of attempts in June 2026).
L9.b	Raise a query / dispute, date-wise	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L9.c	Query/dispute screen displays Transaction ID, beneficiary & remitter VPA, date & time, amount	M	Partial	Dispute screen shows amount and date but not the beneficiary/remitter VPA or transaction ID.
L9.d	Option to raise a query / log a complaint against each transaction in status view	M	Non-compliant	No per-transaction "raise a query / log a complaint" option in the transaction status view.
L9.e	Last 5 transactions visible	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L10.a	Hot-listed or deleted VPA not re-allocated (2 years moratorium)	M	Non-compliant	Deleted VPAs can be re-allocated to a new customer after 90 days; moratorium control not implemented.
L11.a	Pay by UPI entry point	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L11.b	Collect by UPI entry point	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L11.c	Reject collect request option	M	Partial	Collect requests can be rejected, but the option is nested two screens deep and not shown on the request itself.
L12.c	QR-based payment displays at least VPA, amount and name to the customer	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.

Ref	Checklist item (Annexure XIV)	M/O	Compliance Status	Merchant Response / Evidence
L13.a1	Intent call from merchant apps supported on Android	M	Compliant	Verified in current production build 3.9; screenshots ref PZ-APP-2026-Q2.
L13.a2	Intent call from merchant apps supported on iOS	M	Non-compliant	Intent calls from merchant apps are not supported on iOS.

4. Declaration

The undersigned certifies on behalf of PayZippy that the statuses above are true and complete as of the reporting date, and that every item marked Partial or Non-compliant is accompanied by its current remediation position in the response column.

Authorised signatory: Chief Compliance Officer
Date: 15 July 2026

5. Evidence register

Evidence packs referenced in sections 2 and 3, available to the regulator on request.

Evidence ref	Description	Custodian
PZ-REC-2026-Q2	Weekly reconciliation workpapers for the quarter	Finance
PZ-LOA-2023-04	Letter of authority lodged with sponsor bank	Finance
PZ-APP-2026-Q2	App checklist walkthrough screenshots, production build 3.9	QA
PZ-RMD-2026-Q3	Remediation plan: daily reconciliation, UPI DSR integration, in-app servicing	Compliance